- It enables the investors and creditors in assessing the degree of risk involved in granting credit or associating with the business.

13.6 Steps to Start Small Industrial Unit

The steps to be taken by entrepreneurs to start a small industrial unit are explained under the following heads;

13.6.1 Selection of the Product

The product selection is made by an entrepreneur according to his or her own capacity and motivation. One may design a new product or may imitate others products. The economic viability of the product should cover the demands such as

- Volume of existing demand in the domestic market and export market
- Volume of potential demand
- Degree of import substitution and substitution of an existing product and
- Volume of demand by big units for ancillary products.

Some of the most common small scale enterprises in our country are based upon the day to day needs such as readymade garments, leather foot wear, detergent soaps, detergent liquids, plastic items and food items like squashes, marmalade, pickles, jellies, jam and macroni.

13.6.2 Selection of form of ownership

The most commonly chosen forms of ownership for Small Scale Industries (**SSI**) are Sole Proprietorship, Family Ownership, Partnership and Private Limited Company. Sole Proprietorship and Family Ownership have unified control over the unit whereas Partnership and Private Limited Company facilitate the pooling of financial resources, managerial and technical skills.

13.6.3 Selection of Site

The selection of site is planning a suitable plot for the factory or unit while selecting a site. An entrepreneur should see to that the site enjoys government incentives, it is located near the market, it is easier to avail labour and procure raw material. Also it is good to note that the site has modern infrastructural facilities.

13.6.4 Designing Capital Structure

For a new venture the initial capital comes from the sources such as own capital, long term loans and short term loans. Bank plays a very important role in providing working capital to all companies or factories or units.

13.6.5 Acquisition of Manufacturing Know-how

Several institutions like government research laboratories, research and development divisions of industries or individual consultants provide the manufacturing know-how for the young entrepreneurs. This methodology is also provided by the machinery suppliers both domestic as well as foreign. Also the national laboratories and research institution give guidance related to the know-how of productions and operations.

XII TDD_English version CHAPTER 13.indd 203 1/13/2020 3:41:24 PM